

Course Information

Course Number: FINC 351
Course Title: Investment Analysis
Section: 504
Time: MW 12:45pm-2:00pm
Location: WCBA 182
Credit Hours: 3

Instructor Details

Instructor: Yuan Zhou
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Office Hours: Monday 2-4 p.m. and by appointment

To facilitate timely responses to your emails, please i) use your TAMU email, ii) write "FINC351" in the email's subject. I will try to respond to emails within 48 hours.

Course Description

The objective of this course is to expose students to the fundamental concepts of investment theory, financial markets, and financial instruments. Students will learn about different asset classes, how to determine the price of financial securities, the relations between the prices of different securities, their risks and returns, and how to choose a portfolio or strategy from different asset classes.

Course Prerequisites

[ACCT 327](#) or concurrent enrollment; [FINC 210](#) or concurrent enrollment; [FINC 341](#) with a grade of C or better; [BUSN 203](#) or concurrent enrollment, or AP [STAT 301](#) or AP [STAT 302](#) or AP [STAT 303](#).

Course Learning Outcomes

After successful completion of this course, students should be familiar with the following topics/concepts:

- Financial securities: bonds, stocks, currencies, commodities, futures, options, mutual funds, ETFs.
- Trading: buying on margin, short selling, market orders, limit orders, bid-ask spreads.
- Rates of return, time value of money, risk, risk aversion, risk premium.
- Portfolio analysis: diversification, mutual fund separation.
- Equity valuation: dividend growth model, earnings growth model, valuation ratios.
- Fixed income securities: Treasury bonds, bond pricing, yields, yield curve, bond holding-period return, corporate bonds, default risk, credit spread.

- Financial futures: futures price, marking-to-market, speculation with leverage.
- Options: call options, put options, Black-Scholes-Merton model, option strategies, put-call parity, leverage.

Textbook and/or Resource Materials

This is a paper-free class. I will distribute all readings and lecture notes electronically via Canvas. I will always make sure to post my lecture notes on Canvas prior to class. If you wish to take notes directly on these lecture notes, please make sure to print out a set before class. I will not distribute paper copies in class. I will also post the problem sets and the problem set solutions on Canvas.

There is NO required textbook for this class, but I strongly recommend the following books (older editions are fine):

- Essentials of Investments 12th Edition by Bodie, Kane, and Marcus. Link to a buying option: <https://www.mheducation.com/highered/product/essentials-investments-bodie-kane/M9781260772166.html#buying-options>
- Essentials of Investments 13th Edition by Bodie, Kane, and Marcus (more advanced). Link to a buying option: <https://www.mheducation.com/highered/product/investments-bodie-kane/M9781264412662.html>

I will post recommend readings and problems from the textbook on Canvas. Exams will be based only on materials covered in class and in the accompanying problem sets.

Grading Policy

There are three mandatory exams and five problem sets.

Exams – There are two midterm exams and a final exam. Please find the exam schedule below.

Exam	Date
Midterm exam 1	Monday, September 30 in class
Midterm exam 2	Monday, November 4 in class
Final exam	Friday, December 6 10:30am-12:30pm

I will announce the location of the final exam on Canvas as soon as it is available. There will not be any make-up exams except as required by university policies. **If you have the university-approved excuses and would like to take the make-up exams, please email me before the exam time. Any requests after the exam time will not be accepted.** All regrade requests must be made in writing within one week of the day the exams are returned. Any exam submitted for regrading of a question can be subjected to a complete regrading.

All three exams are **closed-book, closed-notes**. For each exam, you may bring a **single letter-size handwritten formula sheet**. You may write on both sides of this sheet. The final exam is cumulative.

Problem Sets – There are five problem sets that are worth 500 points in total. These can be tackled in groups of up to four students. Problem sets must be submitted electronically via Canvas and are due latest at the beginning of class, on the dates shown in the table below.

- Answers to the problems should be clearly written and should explain your thought process.
- Only one member of the group submits the assignment and makes sure that the names of all group members are listed on the first page of the assignment.
- No late assignments will be accepted.
- I will post the grade for each problem set on Canvas. Please make sure you check your grade and report any errors as soon as possible and at the latest within two weeks of the problem set's due date. I will not accept any inquiries afterwards.
- The solution to each problem set will be posted after your answers have been turned in (see table with deadlines). Your graded answers will be posted on Canvas. I will not discuss the solutions to problem sets in class, but I encourage you to come the TA's or my office hours if you have any questions.

Problem set	Due date
Problem set 1	Wednesday, September 11
Problem set 2	Wednesday, September 25
Problem set 3	Wednesday, October 23
Problem set 4	Wednesday, November 3
Problem set 5	Monday, December 2

Grading

- Your course grade will be based on your performance on the participation in class, three exams and the five problem sets. I reserve the right to curve the final grades.
- Extra Credits: I reserve the right to add up to 3% to the final grade as an extra credit based on: 3 extra credit assignments closely related to the content of this course.

Grading Structure	
Participation	10%
Problem sets	20%
Midterm exam 1	20%
Midterm exam 2	20%
Final exam (cumulative)	30%

Late Work Policy

Late assignments will not be accepted.

Absence from a midterm or final exam will result in a grade of zero for that exam unless the absence is excused per university policies (see [Student Rule 7](#)). There will not be make-ups without a university excused absence.

Course Schedule (Tentative)

Below is my best estimate of our weekly schedule. These dates are approximate and some material may

take longer or shorter to cover than the time allotted. The chapters listed below refer to “Essentials of Investments” by Bodie, Kane, and Marcus, 12th edition.

Session	Date	Topic	Recommended Readings	Problem Sets
1	M Aug 19	Introduction		
2	W Aug 21	Asset classes and financial securities	Ch. 2	
3	M Aug 26	Asset classes and financial securities	Ch. 2	
4	W Aug 28	Securities markets	Ch. 3	
	M Sep 2	Labor Day, No Class		
5	W Sep 4	Investment companies	Ch. 4	
6	M Sep 9	Rates of return	Ch. 5	
7	W Sep 11	Risk and reward	Ch. 5	Pset 1 due
8	M Sep 16	Portfolio analysis	Ch. 6	
9	W Sep 18	Portfolio analysis	Ch. 6	
10	M Sep 23	Portfolio analysis	Ch. 6	
11	W Sep 25	CAPM	Ch. 7	Pset 2 due
12	M Sep 30	Midterm exam 1		
13	W Oct 2	CAPM	Ch. 7	
	M Oct 7	Fall Break, No Class		
14	W Oct 9	CAPM	Ch. 7	
15	M Oct 14	CAPM	Ch. 7	
16	W Oct 16	Bond prices and yields	Ch. 10	
17	M Oct 21	Bond prices and yields	Ch. 10	
18	W Oct 23	Bond prices and yields	Ch. 10	Pset 3 due
19	M Oct 28	Credit risk and corporate bonds		
20	W Oct 30	Treasury inflation protected bonds		
21	M Nov 4	Midterm exam 2		
22	W Nov 6	Equity valuation	Ch. 13	
23	M Nov 11	Options markets	Ch. 15	
24	W Nov 13	Options markets	Ch. 15	Pset 4 due
25	M Nov 18	Option valuation	Ch. 16	
26	W Nov 20	Option valuation	Ch. 16	
27	M Nov 25	Option valuation	Ch. 16	
	W Nov 27	Thanksgiving Holiday, No Class		
28	M Dec 2	Review session for final exam		Pset 5 due
	F Dec 6	Final exam, 10:30am-12:30pm		

University Policies

Attendance Policy

The university views class attendance and participation as an individual student responsibility. Students are expected to attend class and to complete all assignments.

Please refer to [Student Rule 7](#) in its entirety for information about excused absences, including definitions, and related documentation and timelines.

Makeup Work Policy

Students will be excused from attending class on the day of a graded activity or when attendance contributes to a student's grade, for the reasons stated in Student Rule 7, or other reason deemed appropriate by the instructor.

Please refer to [Student Rule 7](#) in its entirety for information about makeup work, including definitions, and related documentation and timelines.

Absences related to Title IX of the Education Amendments of 1972 may necessitate a period of more than 30 days for make-up work, and the timeframe for make-up work should be agreed upon by the student and instructor" ([Student Rule 7, Section 7.4.1](#)).

"The instructor is under no obligation to provide an opportunity for the student to make up work missed because of an unexcused absence" ([Student Rule 7, Section 7.4.2](#)).

Students who request an excused absence are expected to uphold the Aggie Honor Code and Student Conduct Code. (See [Student Rule 24](#).)

Academic Integrity Statement and Policy

"An Aggie does not lie, cheat or steal, or tolerate those who do."

"Texas A&M University students are responsible for authenticating all work submitted to an instructor. If asked, students must be able to produce proof that the item submitted is indeed the work of that student. Students must keep appropriate records at all times. The inability to authenticate one's work, should the instructor request it, may be sufficient grounds to initiate an academic misconduct case" ([Section 20.1.2.3, Student Rule 20](#)).

Texas A&M at College Station

You can learn more about the Aggie Honor System Office Rules and Procedures, academic integrity, and your rights and responsibilities at aggiehonor.tamu.edu.

Texas A&M at Galveston

You can learn more about the Honor Council Rules and Procedures as well as your rights and responsibilities at tamug.edu/HonorSystem.

Texas A&M at Qatar

You can learn more about academic integrity and your rights and responsibilities at Texas A&M University at Qatar by visiting the [Aggie Honor System](#) website.

Americans with Disabilities Act (ADA) Policy

Texas A&M University is committed to providing equitable access to learning opportunities for all students. If you experience barriers to your education due to a disability or think you may have a disability, please contact the Disability Resources office on your campus (resources listed below)

Disabilities may include, but are not limited to attentional, learning, mental health, sensory, physical, or chronic health conditions. All students are encouraged to discuss their disability related needs with Disability Resources and their instructors as soon as possible.

Texas A&M at College Station

Disability Resources is located in the Student Services Building or at (979) 845-1637 or visit disability.tamu.edu.

Texas A&M at Galveston

Disability Resources is located in the Student Services Building or at (409) 740-4587 or visit tamug.edu/counsel/Disabilities.

Texas A&M at Qatar

Disability Services is located in the Engineering Building, room 318C or at +974.4423.0316 or visit <https://www.qatar.tamu.edu/students/student-affairs/disability-services>.

Title IX and Statement on Limits to Confidentiality

Texas A&M University is committed to fostering a learning environment that is safe and productive for all. University policies and federal and state laws prohibit gender-based discrimination and sexual harassment, including sexual assault, sexual exploitation, domestic violence, dating violence, and stalking.

With the exception of some medical and mental health providers, all university employees (including full and part-time faculty, staff, paid graduate assistants, student workers, etc.) are Mandatory Reporters and must report to the Title IX Office if the employee experiences, observes, or becomes aware of an incident that meets the following conditions (see [University Rule 08.01.01.M1](#)):

- The incident is reasonably believed to be discrimination or harassment.
- The incident is alleged to have been committed by or against a person who, at the time of the incident, was (1) a student enrolled at the University or (2) an employee of the University.

Mandatory Reporters must file a report regardless of how the information comes to their attention – including but not limited to face-to-face conversations, a written class assignment or paper, class discussion, email, text, or social media post. Although Mandatory Reporters must file a report, in most instances, a person who is subjected to the alleged conduct will be able to control how the report is handled, including whether or not to pursue a formal investigation. The University's goal is to make sure you are aware of the range of options available to you and to ensure access to the resources you need.

Texas A&M at College Station

Students wishing to discuss concerns related to mental and/or physical health in a confidential setting are encouraged to make an appointment with [University Health Services](#) or download the [TELUS Health Student Support app](#) for 24/7 access to professional counseling in multiple languages. Walk-in services for urgent, non-emergency needs are available during normal business hours at University Health Services locations; call 979.458.4584 for details.

Students can learn more about filing a report, accessing supportive resources, and navigating the Title IX investigation and resolution process on the University's [Title IX webpage](#).

Texas A&M at Galveston

Students wishing to discuss concerns in a confidential setting are encouraged to make an appointment with the Counseling Office in the Seibel Student Center, or call (409)740-4587. For additional information, visit tamug.edu/counsel.

Students can learn more about filing a report, accessing supportive resources, and navigating the Title IX investigation and resolution process on the Galveston Campus' [Title IX webpage](#).

Texas A&M at Qatar

Texas A&M University at Qatar students wishing to discuss concerns in a confidential setting are encouraged to visit the [Health and Wellness](#) website for more information.

Students can learn more about filing a report, accessing supportive resources, and navigating the Title IX investigation and resolution process on the University's [Title IX webpage](#).

Statement on Mental Health and Wellness

Texas A&M University recognizes that mental health and wellness are critical factors influencing a student's academic success and overall wellbeing. Students are encouraged to engage in healthy self-care practices by utilizing the resources and services available through [University Health Services](#). Students needing a listening ear can call the Texas A&M Helpline (979.845.2700) from 4:00 p.m. to 8:00 a.m. weekdays and 24 hours on weekends for mental health peer support while classes are in session. The [TELUS Health Student Support app](#) provides access to professional counseling in multiple languages anytime, anywhere by phone or chat, and the 988 Suicide & Crisis Lifeline offers 24-hour emergency support at 988 or 988lifeline.org.

Texas A&M College Station

Students needing a listening ear can contact University Health Services (979.458.4584) or call the Texas A&M Helpline (979.845.2700) from 4:00 p.m. to 8:00 a.m. weekdays and 24 hours on weekends while classes are in session. 24-hour emergency help is also available through the 988 Suicide & Crisis Lifeline (988) or at 988lifeline.org.

Texas A&M at Galveston

Students who need someone to talk to can call (409) 740-4736 from 8:00 a.m. to 5:00 p.m. weekdays or visit tamug.edu/counsel for more information. For 24-hour emergency assistance during nights and weekends, contact the TAMUG Police Dept at (409) 740-4545. 24-hour emergency help is also available through the 988 Suicide & Crisis Lifeline (988) or at 988lifeline.org [Links to an external site.](#)

Texas A&M at Qatar

Texas A&M University at Qatar students wishing to discuss concerns in a confidential setting are encouraged to visit the [Health and Wellness](#) website for more information.

Statement on the Family Educational Rights and Privacy Act (FERPA)

FERPA is a federal law designed to protect the privacy of educational records by limiting access to these records, to establish the right of students to inspect and review their educational records and to provide guidelines for the correction of inaccurate and misleading data through informal and formal hearings. Currently enrolled students wishing to withhold any or all directory information items may do so by going to howdy.tamu.edu and clicking on the "Directory Hold Information" link in the Student Records channel on the MyRecord tab. The complete [FERPA Notice to Students](#) and the student records policy is available on the Office of the Registrar webpage.

Items that can never be identified as public information are a student's social security number, citizenship, gender, grades, GPR or class schedule. All efforts will be made in this class to protect your privacy and to ensure confidential treatment of information associated with or generated by your participation in the class.

Directory items include name, UIN, local address, permanent address, email address, local telephone number, permanent telephone number, dates of attendance, program of study (college, major, campus), classification, previous institutions attended, degrees honors and awards received, participation in officially recognized activities and sports, medical residence location and medical residence specialization.

College and Department Policies

Mays Food & Beverage Policy

We have beautiful and state-of-the-art classrooms in the Wehner Building and Cox Hall. We want to maintain the high quality of these classrooms for the students in future years. Thus, it is necessary for you to adhere to the established policy of no beverages, food, tobacco products, or animals (unless approved) within the classrooms. Bottled water is permitted. Your assistance is greatly appreciated.

Mays Business School Statement on Outside Resources

Students' work on all graded items should be completed independently, and/or within teams, for team assignments. Using work completed by someone else (or another team, in a team assignment) is considered academic dishonesty. This includes, but is not limited to, another person's work obtained through face-to-face conversations, phone calls, text messages, instant messages, chats, Slack exchanges, email messages, social media posts, tutoring sites, questions/answers on discussion forums, blogs, etc.